

Focus investing pursues above-average results, and, as we will see, there is strong evidence, both academic research and actual case histories, that the approach is successful when thoughtfully applied. There can be no doubt, however, that the ride is bumpy, for an increased level of price volatility is a necessary by-product of the focus approach. Focus investors tolerate the bumpiness because they know that, in the long run, the underlying economics of the companies will more than compensate for any short-term price fluctuations.

Buffett is the master bump ignorer. So is his partner Charlie Munger, who came to the fundamental concept of focus investing by a slightly different route. “Back in the 1960s,” he explained, “I actually took a compound interest rate table, and I made various assumptions about what kind of edge I might have in reference to the behavior of common stocks generally.”⁶ Charlie worked through several scenarios to determine the number of stocks he would need in the portfolio of his investment partnership and what kind of volatility he could expect.

“I knew from being a poker player that you have to bet heavily when you’ve got huge odds in your favor,” Charlie said. He concluded that as long as he could handle the price volatility, owning as few as three stocks would be plenty. “I knew I could handle the bumps psychologically, because I was raised by people who believed in handling bumps.”⁷

Maybe you also come from a long line of people who can handle bumps. But even if you were not born so lucky, you can acquire some of their traits. You need to consciously decide to change how you think and behave. Acquiring new habits and thought patterns does not happen overnight, but gradually teaching yourself not to panic or act rashly in response to the vagaries of the market is certainly doable.

The Mathematics of Focus Investing

It is a vast oversimplification, but not an overstatement, to say that the stock market is a giant warehouse full of countless probabilities. In this warehouse are thousands of single forces that combine to set prices, all of